

PITCH — SUPV — VERDICT

PROPOSED — PENDING ADJUDICATION

What we believe

Grupo Supervielle is an Argentine bank whose U.S.-listed shares have fallen 43.5% from their 52-week high (\$13.54) to \$7.65, while the bank's own reported condition improved through the June-2026 quarter: bad-loan ratio down to 5.5%, headcount down 17% with about AR\$42bn of annualized salary savings, and a return to profit.

We believe the shares are **modestly cheap, not deeply cheap**, and that what we would be buying is **Argentine macro exposure at a fair-to-slightly-discounted price — not a company-specific insight**.

The arithmetic, using the bank's own filed numbers and today's peso rate (~1,490 ARS/USD):

- Shareholders' equity AR\$1,181.0bn $\approx$ **\$0.79bn**
- Market value $\approx$ **\$0.67bn** (87.5m ADSs at \$7.65; each ADS = 5 ordinary shares)
- So the stock trades at about **0.85x book value** — book value is roughly **\$9.05 per ADS**
- Adjusted return on equity, excluding one-off severance but *not* crediting savings that haven't happened yet, is **12.4%** — and because Argentina reports in inflation-adjusted pesos, that is a **real** (after-inflation) return

A bank earning a 12.4% real return against a 12–15% real cost of capital is worth roughly book value. That puts fair value at about **\$7.50–\$9.35 per ADS**, midpoint ~\$8.40. From \$7.65 that is roughly **+10%**, plus whatever the cost-cutting actually delivers from the September quarter onward.

That is the honest size of the prize. It is a starter position, not a thesis.

What the market believes

Two different things, and they don't agree with each other.

The five covering analysts publish an average price target of **\$12.92** (range \$10.60–\$15.00, zero sell ratings, two buys) — implying **+69%**. Their load-bearing number is FY27 earnings of ARS 369.65 per ordinary share, which is about **\$1.24 per ADS**. At \$7.65 the market is paying **6.2x** that estimate; the price target implies about **10.4x**.

The tape has declined to pay it. The stock fell to \$4.56, has recovered to \$7.65 — which is only **34% of the decline retraced**, not most of it.

So the market's revealed belief is: *either the FY27 estimate is too high, or Argentine bank earnings deserve a very low multiple, or both*. We think the second is closer to right, and that the analysts' targets are the weaker anchor here — \$12.92 is **1.43x book**, which requires a sustainable real return on equity somewhere near **18–19%**. Nothing in the June quarter supports that. Reported return on equity was **4.4%**.

Why we might have edge

Three candidates, ranked by how much we actually believe them.

1. **A data-plumbing error in the screening feeds (strongest).** At least one widely-used data vendor publishes SUPV's forward P/E as **39.77x**. That number divides the *ADS* price by *per-ordinary-share* earnings, ignoring the 5:1 ratio. The true forward multiple is roughly **7.9x** on this year and **6.4x** on next. Any quantitative screen inheriting that feed throws SUPV out as expensive. This is a mechanical, checkable reason a cheap stock could stay unscreened — and it is the only edge claim in this file that neither side of the court could break.
2. **A cost cut whose benefit hasn't landed yet.** The 17% headcount reduction was implemented during the quarter; the filing says the full run-rate benefit begins in the September quarter. If the savings survive contact with customers, reported earnings step up mechanically. This is timing, not insight — and it is exactly what the analysts are already forecasting.
3. **The currency setup is better than the bears think.** The peso depreciated about 24% over the year against 33.8% inflation — meaning the peso got *stronger* in real terms, which under Argentina's inflation-adjusted accounting is a translation **tailwind** for the U.S.-listed shares, not a headwind. Our own bear bench got this sign backwards and built its strongest kill on it (see the table below).

Why it might be priced in

Plainly: it probably mostly is.

- **We agree with the published view.** Five analysts already say the stock is worth \$12.92–\$14.75. We are not carrying a view the market hasn't heard. Our own bear correctly flagged this, even though its supporting numbers were sloppy.
- **The margin expansion is a timing artifact.** Net interest margin rose to 20.3% from 17.7% in the prior quarter — but the filing itself attributes this to “*funding costs easing faster than asset yields throughout the quarter*.” Deposit rates reset; that gap closes. And margin is **down year-over-year** (20.8% → 20.3%), which the company blames on “*narrower loan spreads driven by a lower share of retail lending, together with a higher proportion of dollar-denominated positions*.” This was the single best point either bench made, and it survived every challenge.
- **Reserve coverage is deteriorating.** Loan-loss coverage has fallen **129.7% → 103.9% → 98.9%** across three quarters while charge-offs rose to AR\$16.9bn, +16.6% quarter-over-quarter. The bank is writing bad loans off faster than it is reserving against them. New bad-loan formation is ~20% below the peak quarter — but that still means it is running at **80% of the worst quarter on record**.
- **Capital is being consumed while earnings are weak.** Core capital fell **15.4% → 14.2%** in one quarter, which the filing attributes to “*higher RWA density, driven by*

an increase in market risk associated with the expansion of the corporate notes portfolio.” The bank is reducing consumer credit risk and taking on market risk instead. Neither bench flagged this until the second pass.

- **The deposit base is dollarizing.** Foreign-currency deposits are **US\$1.2bn, up 30.1% year-over-year, now 31% of all deposits** (27% a year ago). The peso deposit float is what generates a 20% margin; it is structurally shrinking.
- **The stock already bounced.** Entry at \$7.65 is not entry at \$4.56. The easy part of this trade happened without us.

What we checked ourselves

Claim	How we checked it	What we found	Confirmed?
Price \$7.65, 52-week range \$4.56–\$13.54	Broker feed (IBKR gateway), rebuilt pack 2026-08-22 05:39 UTC	dd from high –43.5%; +67.8% off the low	Yes
Our bear used \$7.90 and a \$4.54–\$13.55 range	Compared to broker feed	Our own bear overrode the broker rail with a public website scrape. Wrong direction of authority. Small numbers, wrong process.	Bench error — red
“The stock is two-thirds retraced off its low”	Recomputed: $(7.65-4.56)/(13.54-4.56)$	34.4% of the decline retraced. Our bear used “% off the low” (+74%) as if it were a retracement measure — a small-denominator base effect, committed in the middle of prosecuting a base effect.	Bench error — red; the directional point survives
“Argentina’s new FX band sanctions ~30%/yr depreciation → structural drag” (our bear’s FATAL finding)	<u>BCRA exchange-rate-band regime</u> ; INDEC inflation; the 6-K itself	The 2026 mechanism widens the band both ways by prior-month inflation — a move toward a float, not a devaluation crawl. Spot ~1,490 sits mid-band, ~22% below the ceiling; the central bank has been a net buyer of ~US\$7.5bn this year. The 6-K states 24% nominal peso	Bench error — red; FATAL finding void

Claim	How we checked it	What we found	Confirmed?
“The bank is shrinking” (loans –1.4% quarter-over-quarter)	Same table in the 6-K	depreciation against 33.8% inflation → the peso appreciated in real terms. Sign inverted. The same table shows +8.9% year-over-year in inflation-adjusted pesos — real growth. Our bear quoted one quarter and suppressed four. Restated correctly: <i>growth stalled this quarter.</i>	Bench error — red; reduced to a timing point
“Analyst range \$12–\$19, 5 analysts”	Vendor forecast page	Actual range \$10.60–\$15.00, 0 sells / 2 buys, avg \$12.92. Wrong inputs, right conclusion — we do agree with the street.	Bench error — red; conclusion stands
“Equity figure is unverified/derived”	Read the 6-K	Equity AR\$1,181.0bn is a quoted line in the filing. Our bear derived it from assets ÷ leverage and labeled it unverified when it was sitting in the document.	Bench error — red
“Fair, not cheap” priced off 4.4% ROE	Recomputed on adjusted ROE	4.4% is depressed by AR\$36bn of <i>actual</i> severance. The defensible input is 12.4% adjusted (excludes the one-off, does not credit unearned savings). At 0.85x book that is a modest real discount, not zero.	Partly wrong — conclusion softened, not reversed
Margin expansion is a repricing lag, not franchise strength	6-K primary text	Confirmed verbatim; margin down year-over-year.	Yes — best surviving bear point

Claim	How we checked it	What we found	Confirmed?
Coverage <100% while charge-offs accelerate	6-K; checked whether loan sales explain it	No portfolio sales in any of the last four quarters, so sales are not the mechanism. Write-offs with lighter reserving are.	Yes — second surviving bear point
“Structural ROAE 14.4%” is a pro-forma that double-counts	Checked it against the filed document, not just the call	The phrase, its definition, and the AR\$36bn/AR\$39bn severance figures all appear in the filed 6-K — it is aggressive but not hidden . Reported figures are 4.4% ROE / 0.6% ROA.	Yes — but it was already disclosed in our own brief; not a discovery
Market capitalization	437.7m ordinary shares ÷ 5 × \$7.65	\$0.67bn. Our bear published \$733M , which implies ~464m shares. ~26m share discrepancy we did not reconcile.	No — unresolved
Peso year-over-year move	Bear said –13.15%; 6-K says 24% nominal depreciation	Two different numbers, never reconciled. Different base dates and/or different rates (official vs. financial). The real-appreciation conclusion holds either way against 33.8% inflation, but we should not quote either figure without stating which rate it is.	No — unresolved
Company facility location, for any geography-based check	Geocoder on the filed address	The pack geocoded Reconquista 330, Buenos Aires to a point ~900km away in Santiago del Estero province. Do not build any location-based signal on that coordinate.	Bench catch — good; our own tooling was wrong
Industry bad-loan comparison (SUPV	Attempted independent source	Could not check. The 7.6% comes	No

Claim	How we checked it	What we found	Confirmed?
5.5% vs “industry 7.6%”)		from the issuer. The central bank publishes the underlying series monthly; we did not pull it.	
Whether the 17% headcount cut degraded customer service	Attempted app-store review velocity	Could not check — no data pulled. Both benches independently named this the single highest-value missing fact, because it tests the cost-cut story <i>before</i> the November print. Vendor divides ADS price by per-ordinary-share earnings. True forward multiple $\approx$ 7.9x / 6.4x.	No — open work
Vendor forward P/E of 39.77x	Recomputed with the 5:1 ADS ratio		Yes — and this is the one genuine edge candidate

Two more things we should say about our own process: the broker data connection was **unauthorized for this session**, so neither bench could pull peer or intraday bars — all comparative levels are public closes. And the evidence pack’s quarterly financial-data block came back **empty**, so no share-count, cash-flow, or stock-compensation math was done from audited machine-readable filings. Both are gaps in our work, not in the company.

PROPOSED ENTRY BANDS

All levels are anchored to **book value of ~\$9.05 per ADS** (AR\$1,181.0bn $\div$ 1,490 ARS/USD $\div$ 87.5m ADSs), because that is the only valuation anchor both benches ended up agreeing on.

Important mechanical caveat: book value is reported in inflation-adjusted pesos and converted at spot. **These dollar levels drift with the peso and must be re-struck after every quarterly filing and after any move in ARS/USD beyond $\pm 10\%$.** A gate set today at \$6.79 is not the same gate in three months.

Entry

Action	Level	Multiple of book	Size	Condition
Starter	$\leq \\$7.70$ (market is \$7.65)	0.85x	0.35% of book	None beyond adjudication

Action	Level	Multiple of book	Size	Condition
Add 1	≤ \$6.79	0.75x	+0.35%	Only if no kill trigger below has fired
Add 2	≤ \$5.88	0.65x	+0.30%	Only if the November print shows coverage rebuilt and loans growing in real terms
Maximum total	—	—	1.00% of book	Counted inside an Argentina-macro bucket, unlevered, no options

Stop adding above **\$9.35** (1.03x book) — that is the top of the fair range implied by a 12.4% real return against a 12–15% real cost of capital. We do not chase.

Trims and exits

- **Trim half at \$11.30** (1.25x book) — a multiple that requires roughly a 16% sustainable real return we have not yet seen.
- **Full exit at \$12.92** (1.43x book, the street's average target) unless by then the company has reported a **real return on equity above 17% for two consecutive quarters**. Absent that, \$12.92 is a price we sell into, not a price we forecast.
- **Exit regardless of price** — sell the whole thing, don't wait for a level — if any one of these prints:
 - Loan-loss coverage falls **below 95%**
 - Core capital falls **below 13.5%**
 - Foreign-currency deposits exceed **35% of total deposits**
- **Also re-open the case (not automatic exit)** if the central bank re-anchors the band below inflation or reserve accumulation stops — that changes the whole Argentine bank group, not just this name.

Catalyst dates

- **2026-11-17 — third-quarter results.** This is the one that matters: it is the first quarter with the full cost saving in the run rate, the first test of whether the margin gain was a repricing lag, and the first read on coverage. **This date is derived from a data vendor and is NOT confirmed by the company.** Confirming it is a prerequisite to any add.
- **Mid-September and mid-October 2026 — monthly national inflation releases (INDEC).** These set the band's step size and therefore the real currency path. Exact dates unverified.
- **No near-term company catalyst before then.** The decisive filing already landed on 2026-08-10.

Sizing rationale, stated plainly: this is a starter because the case is *carry, fairly priced* — not an insight. If the only thing we own is Argentine macro exposure at 0.85x book, then the position should be small enough that being wrong about Argentina costs us a

rounding error, and the add ladder should require the price to come to us rather than us reaching for it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.88 (deck-provisional: 0.65x book - add 2 (+0.30%), requires 3Q26 coverage rebuilt and real loan growth)
- filing watch: 6-K until 2027-02-17 (deck-provisional: SUPV reports quarterly results by 6-K, not 10-Q; all three kill triggers (coverage <95%, CET1 <13.5%,)
- dated pack SUPV|2026-11-17: SUPV: 3Q26 results - first quarter with full cost-cut run rate; tests whether NIM gain was a repricing lag and whether coverage rebuilt above
- dated pack SUPV|2026-09-15: SUPV: INDEC monthly CPI (approximate; exact date unverified) - sets the FX band step and the real peso path that drives USD translation (dat
- dated pack SUPV|2026-10-15: SUPV: INDEC monthly CPI (approximate; exact date unverified) - second read on the real FX path before the print (date confirmed=False)

What remains unverified

Things that would change the position size or the levels:

1. **The earnings date.** Vendor-derived. Unconfirmed by the company.
2. **The share count and market capitalization.** Our two benches implied 437.7m and ~464m ordinary shares. That 6% discrepancy flows directly into the price-to-book number that every entry level above is derived from.
3. **The peso rate itself.** Every dollar figure here uses 1,490 ARS/USD. We did not record the timestamp of that rate, or which rate it is (official, financial, or blended).
4. **The peso's year-over-year move.** -13.15% in one place, -24% in the filing. Not reconciled. The real-appreciation conclusion survives either way, but we should not quote a number until we know which rate it is.
5. **Whether the margin gain survives the deposit reset.** This is the whole bear case and it is only testable in November.
6. **Whether the deposit dollarization accelerated in the third quarter.** 31% today, up from 27%. Our own kill trigger is 35%. We do not know the trajectory.
7. **Whether the cost cut damaged the franchise.** Zero evidence collected. See the app-store gap above.

Assumptions we are making, labeled as assumptions:

8. **A 12–15% real cost of capital for an Argentine bank.** This is a bench judgment, not a measured number. It sets the entire fair-value range. If the right number is 18%, fair value is below the current price and there is no trade.
9. **The FY27 earnings estimate of ARS 369.65/share** is a vendor-aggregated consensus figure, not something we modeled.
10. **The industry bad-loan comparison of 7.6%** is the issuer's own figure, unsourced independently.
11. **Argentina's band corridor of roughly 724–1,919 for September 2026** was read off the central bank page by one bench and not independently re-derived.

Things we could not check at all:

12. No audited machine-readable quarterly data was available in the pack, so no independent share-count, cash-flow, or dilution work was done.
13. No broker market data all session — no peer comparison, no liquidity or spread check for an execution ladder we are proposing to run.

Primary source for everything quoted from the company: [SEC Form 6-K, accession 0001517399-26-000031, filed 2026-08-11](#). Where transcripts, vendor feeds, or either bench conflicts with that document, the document wins.

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Adjudication & update (2026-08-23)

Ruling (2026-08-22): MINIMUM STARTER 0.25% RP_FAIR — a sovereign-beta carrier, carry-not-edge. Both benches converged on the size; the adjudication ratified the convergence and recorded the audit. Red's FATAL — “the FX carry switched off” — was VOIDED as a sign inversion: the 6-K's own 24% nominal depreciation against 33.8% inflation means the real peso *appreciated*, an IAS-29 USD tailwind (the sign holds under

red's own alternative figure too). Red's consensus kill failed §DIVERGENCE-NOT-COVERAGE (five analysts at a \$12.92 average PT against a 6.2× tape is a ~40% divergence, and red's quoted range was factually wrong); blue's vendor-unit find explains the screens: published P/E ignores the 5:1 ADS ratio (true $\approx 7.9 \times$ FY26, not 39.77×). What survives and caps size at the floor (NOVEL): one-sided NIM repricing lag, coverage 98.9% with charge-offs +16.6% QoQ, FX deposits 31% of funding and rising, CET1 15.4%→14.2%. FLAT triggers: Q3 coverage <95% · CET1 <13.5% · FX deposits >35%.

Order status: LIVE — BUY 320 @ \$7.65 GTC (submitted 8/22), cancel-by 11/06 (the ~11/17 print date is unconfirmed; the cancel-by keeps the bid out of the window even if the date moves).

What could go wrong (*authored at deck update 2026-08-23 — post-ruling, pre-fill*)

1. **Credit normalizes the wrong way.** NPL formation is still ~80% of the worst quarter on record and coverage sits below 100%. If Q3 prints coverage under 95%, the FLAT trigger fires and the carry thesis ends — censored, dated, gradeable.
2. **A sovereign-regime break.** A devaluation step, a re-imposition of controls, an election shock — Argentina reprices as a block and no bank-level metric we watch fires first. *Unknown-unknown class: sovereign-regime discontinuity (tripwire-less by nature)*. This is priced by the 0.25% floor and the single-name Argentina sleeve cap, not by any sensor.
3. **The real-appreciation tailwind reverses.** The voiding of red's kill depends on inflation outrunning nominal depreciation; a crawl-peg break that flips the sign flips the IAS-29 arithmetic against the USD return — visible only in the monthly BCRA series, between prints.

Reflexive/structural leg: the print date is UNCONFIRMED — if it moves inside our resting window, the cancel-by (11/06) is the only protection, so confirming the date is standing work, not housekeeping. ADR liquidity is adequate for 320 shares. Cohort note: one of nine same-doctrine starters graded together at 90 days.

“If this position loses money, the most likely reason will be a sovereign-regime break — a devaluation step or policy reversal no bank-level metric we watch would have flagged, hitting a carrier we sized at the floor for exactly that possibility.”